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MUCHANGI PATRICK & ASSOCIATES

ADVOCATES OF THE HIGH COURT OF KENYA · DIGITAL TRUST ASSURANCE

EXECUTIVE BRIEF – NO. 001

Ten Digital Governance Risks Every *SACCO Board* Should Understand

*An Executive Brief for SACCO Directors, CEOs, Company
Secretaries, Compliance Officers and Senior Management.*

PREPARED FOR

SACCO Directors, CEOs, Company
Secretaries, Compliance Officers
and Senior Management

SECTOR

SACCO Governance

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This Executive Brief forms part of the Muchangi Patrick & Associates Advocates Knowledge Centre — published for educational and informational purposes as a contribution to Board-level governance discussion.

Ten Digital Governance Risks Every SACCO Board Should Understand

An Executive Brief for SACCO Directors, CEOs, Company Secretaries, Compliance Officers and Senior Management.

EXECUTIVE SUMMARY

Kenyan SACCOs continue to accelerate their digital transformation through mobile banking, internet services, digital lending, cloud technologies and electronic member engagement.

These developments improve efficiency and member experience while introducing new governance responsibilities extending beyond traditional financial oversight.

This Executive Brief identifies ten Digital Trust governance issues that Boards and executive leadership may wish to consider as part of their oversight responsibilities. It is intended to support informed discussion and continuous governance improvement and does not assess the governance arrangements of any particular institution.

WHY THIS MATTERS

Technology risk has become Board risk.

Digital Governance

Technology risk has become Board risk.

Member Trust

Digital Trust strengthens confidence among members, regulators and stakeholders.

Organisational Resilience

Strong governance improves preparedness for incidents, regulatory change and digital transformation.

01

Privacy Governance

How personal data belonging to members and staff is identified, classified and safeguarded across its full lifecycle.

02

Digital Services

Mobile banking, internet banking and digital lending channels each raise distinct oversight considerations for the Board.

03

Third-Party Technology Risk

Core banking systems, cloud hosting and payment integrations extend an institution's risk perimeter beyond its own walls.

04

Privacy Policies

Whether published notices and internal policies are current, accurate and reflect what the SACCO actually does with data.

05

Cybersecurity Governance

How cyber risk is identified, escalated and reported, and whether oversight sits with the Board or with IT alone.

06

Artificial Intelligence

Credit scoring, chatbots and fraud detection tools raise fairness, transparency and oversight questions Boards are only beginning to ask.

07

Incident Governance

Whether the institution can detect, contain and report a digital incident within the timeframes regulators and members expect.

08

Evidence-Based Accountability

Moving beyond signed policies toward demonstrable evidence that governance controls are actually operating as designed.

09

Board Reporting

Whether Digital Trust metrics reach the boardroom in a form directors can meaningfully question and act upon.

10

Continuous Improvement

Treating Digital Trust as an ongoing governance discipline rather than a project with a fixed end date.

QUESTIONS EVERY BOARD SHOULD BE ASKING

Seven questions to put to management this quarter.

01 Does the Board receive regular Digital Trust reports?

02 Are privacy and cybersecurity integrated into enterprise risk management?

03 How are cloud service providers governed?

04 Are digital incidents routinely reported to the Board?

05 Does management maintain an accurate inventory of personal information?

06 How are AI initiatives governed?

07 Is Digital Trust maturity periodically assessed?

ABOUT

Phoenix Digital Trust Assurance

Phoenix Digital Trust Assurance is an independent governance methodology developed by Muchangi Patrick & Associates Advocates to assist Boards and executive leadership in strengthening organisational governance across privacy, cybersecurity, information governance, technology governance, artificial intelligence, third-party risk and continuous improvement. The methodology promotes structured governance oversight rather than reactive compliance.

Muchangi Patrick & Associates Advocates

A Kenyan law firm specialising in Data Protection, Privacy, Digital Governance and Emerging Technology Law. Through its Knowledge Centre and Phoenix Digital Trust Assurance initiative, the firm publishes practical governance resources designed to assist Boards and executive leadership in navigating the evolving digital economy.

CONTINUE THE CONVERSATION

Book a Complimentary 10-Minute Digital Trust Gap Analysis

If this Executive Brief raises governance questions relevant to your organisation, we would be pleased to discuss them with you — current governance priorities, privacy and cybersecurity oversight, Digital Trust maturity, and practical next steps.

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Educational Notice. This Executive Brief is published for educational and informational purposes only. It discusses general governance considerations and should not be interpreted as legal advice or an assessment of any particular organisation. This publication does not name, identify or comment on the governance arrangements of any specific institution.